The Impact of MNCs

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Impact of multinational companies on the local economy

- **A multinational company (MNC)** is a business that is registered in one country but has manufacturing operations/outlets in different countries
  - E.g. Starbucks's headquarters is in Washington, USA, but the company has 32,000 stores in 80 countries
- Factors such as **globalisation** and **deregulation** have contributed to the growth of MNCs
- MNCs will choose locations based on factors such as **cost advantages** and access to markets
  - Nike originates from the USA, but 50% of its manufacturing takes place in China, Vietnam and Indonesia due to the **lower production costs** in those countries
- MNCs offer both advantages and disadvantages with regard to:
  - Employment, wages and working conditions
  - The impact on local businesses
  - The impact on the local community and environment

Advantages and disadvantages of MNCs on employment, wages and working conditions

Advantages	Disadvantages
• MNCs lead to **job creation** in local communities • MNCs may offer **more competitive wages** than local businesses • MNCs may offer better working conditions than local businesses	• MNCs may exploit local workers if employment regulations are **weak or not enforced** • **MNCs tend to establish production facilities in regions where labour costs are lower and relatively low wages are paid** • MNCs may not create jobs for local workers, as they may **relocate workers from their own country** to work abroad

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Advantages and disadvantages of MNCs for local businesses

Advantages	Disadvantages

• MNCs can help **boost the local economy** by creating opportunities for local businesses
  ○ If the population is benefiting from higher wages, citizens may **spend more** on local business products
  ○ MNCs may **utilise the services** of local businesses
• There may be potential opportunities for **joint ventures** and partnerships with MNCs that seek to gain knowledge of the local market
  ○ Local firms may **learn new skills** and production methods that allow them to become more efficient
	• MNCs **reduce the supply of workers** available to local businesses if they offer better pay and working conditions
	• If MNCs are able to produce at a lower cost and **compete with local businesses**, those businesses may lose local customers
	  ○ If local businesses lose customers, this may also cause unemployment for workers of local businesses

Help me understand

Advantages and disadvantages of MNCs for local communities and the environment

Advantages	Disadvantages

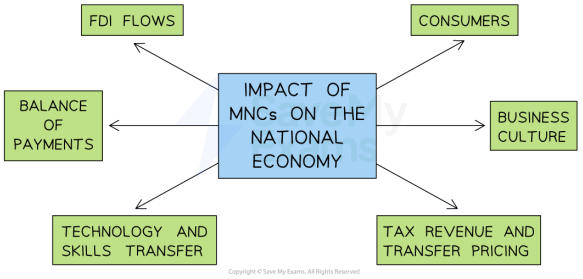
• Local residents may benefit from **job opportunities** and growth in the local economy
• MNCs often invest in improving **infrastructure**
  ○ Better roads, transportation and access to water and electricity would help the local community as well as the MNC
	• MNCs may cause **damage to local habitats/environments** during the production process
	  ○ E.g. Shell has a track record of causing **oil pollution** in vulnerable communities in Nigeria
	• MNCs may leave **unsightly production facilities** behind once they have extracted all of

taxes and **business rates** to local councils/authorities ○ These funds may be reinvested back into the local community • MNCs can establish **charitable initiatives** that have a positive effect on the local community	

Impact of MNCs on the national economy

- Many governments are in favour of MNCs establishing operations in their countries, as there are **benefits** to the wider economy

The impact of MNCs on national economies



MNCs impact several metrics in the national economy, including foreign direct investment flows and the balance of payments

Foreign direct investment flows

- There will be an **inflow of money** into a country if an MNC decides to invest through **foreign direct investment** (FDI)

Advantages and disadvantages of FDI flows from MNCs

Advantages	Disadvantages
• There is an **initial lump sum of money** that enters the country to pay for the investment ○ This money **enriches local firms or citizens**	• Assets from the home country are now **owned (or partly owned)** by foreign businesses • The local firms or individuals who have sold an asset might not

in the economy ○ If this money is **reinvested into the local economy**, it may help to generate new jobs and boost economic growth	**abroad/offshore**

Balance of payments

- The **balance of payments** is a statement showing all of the **financial transactions** between a country and the rest of the world
- MNCs can help to **improve** a country's balance of payments, as the FDI flows into the country will help improve its balance of payments
  - Any goods and services **exported for sale** by the MNC will generate further inflows to the country's balance of payments
  - This is especially beneficial to a country when the MNC is exporting a **rare and valuable raw material, e.g. cobalt**

- MNCs can also have a **negative impact** on the balance of payments
  - If the MNC buys raw materials or equipment abroad (imports), there is a flow of money out of the country
  - If the MNC **sends profits back** to its home country, this is also a flow of money out of the country

Technology and skills transfer

- MNCs can bring new technologies and skills to local businesses
  - This will help **improve efficiency and productivity**, helping domestic businesses to become **more competitive** in the national and international markets

Consumers

- Customers in countries that host MNCs benefit from:
  - A **wider choice of goods** and services
  - **Lower prices** if MNCs pass their cost advantages on in the form of lower prices
  - **Better quality** goods and services
  - **Improved living standards**, as people may have higher incomes due to the job creation and the resulting reduction in unemployment

- However, in the long run, MNCs can **push domestic businesses out of the market**, leaving customers with less choice
  - This may lead to MNCs exploiting customers with **higher prices** and **low-quality products**, as customers have limited choice

Business culture

Advantages	Disadvantages

• Domestic businesses may be influenced by the **business culture** of MNCs
  ○ E.g. in the 1990s, UK businesses adopted the working practices of Japanese businesses such as Nissan
  ○ Workplaces became more open, and employers started to copy ideas such as **kaizen** and continuous improvement
• MNCs may also encourage a culture of **entrepreneurship**
  ○ This can help boost overall economic growth
	• MNCs may demonstrate **unethical behaviour** and have a company culture of exploitation
	  ○ E.g. Bangladesh is used by many clothing brands to produce cheap clothes, and many turn a blind eye to the poor working conditions
	  ○ This encourages local firms to **also ignore working conditions**

Tax revenue and transfer pricing

- There is the potential for the host country to gain significant tax revenue
- Governments can use tax revenue paid by MNCs to invest in improving public services and infrastructure
- However, MNCs seek to maximise profits and will try to **reduce their tax liabilities**
  - **Transfer pricing** is a method used by MNCs to shift profits from the countries in which they are generated to countries with lower tax rates
  - This is a method of **tax avoidance** and means that the businesses will pay less tax in the host country

Examiner Tips and Tricks

In Papers 1 and 3, when assessing the impact of MNCs on the local and national economies, consider the scale of the multinational in comparison to the country in which it is looking to establish itself. For example, if the MNC makes more profit than the GDP of the country in a year, it is likely to have a strong influence on the country.

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